

N

66 | **NECESSITY IS THE MOTHER** of invention. This is perhaps best exemplified by the innovative solutions being developed by start-ups to tackle Covid-19. From drones for delivery of vaccines and medicines, to robots instead of guards at hospitals, to on-the-spot Covid-19 testing, to smart stethoscopes that shield doctors from the virus, and much more, India's start-up story in health, pharmaceuticals, and artificial intelligence (AI)-based medical technology is gaining momentum. There were 7,128 healthtech start-ups in India as on March 24, 2022, according to Tracxn Technologies, a global platform to track innovative companies.

There has been greater investor interest in these start-ups after the Covid-19 pandemic when healthcare took centre stage in all aspects of life. An indication of their success is the fact that these start-ups are increasingly becoming unicorns. According to Invest India, the national investment promotion and facilitation agency under the Department for Promotion of Industry and Internal Trade (DPIIT), Ministry of Commerce, Noida-based healthtech start-up Innovaccer became the first Indian healthcare unicorn, and is currently valued at \$1.3 billion. Innovaccer analyses healthcare data to provide actionable insights to hospitals, insurance companies, and other organisations and businesses. Earlier this year, PharmEasy, an online pharmacy and diagnostics company, became a unicorn, with a valuation close to \$1.5 billion. The company is now eyeing a valuation of about \$7 billion through an initial public offering (IPO). Invest India predicts that healthcare in India is likely to see more unicorns with the growth of healthtech start-ups such as CureFit, Practo, HealthifyMe, etc.



**\$7
BILLION**

**EXPECTED VALUATION
TO BE SOUGHT BY
PHARMEASY WHEN
IT GOES IN FOR ITS
IPO. ITS CURRENT
VALUATION IS
AT \$1.5 BILLION**



**\$5
BILLION**

**EXPECTED SIZE OF
THE HEALTHTECH
MARKET IN INDIA
BY 2023**

The market is also significant. According to Invest India, the healthtech market in India is estimated to reach \$5 billion by 2023, growing at a compound annual growth rate (CAGR) of 39 per cent post the pandemic. Digital shift, use of better technology, and favourable government policies are facilitating the growth of the market.

The pandemic years have not only motivated start-ups to enter the health and pharma domain, there is also a clear trend of other companies investing and partnering with them. For example, Tata Digital, a wholly owned subsidiary of Tata Sons, acquired a majority stake in e-pharmacy 1mg in June 2021 with the start-up receiving capital infusion of \$100-120 million in total. In February 2019, Cipla acquired a 11.71 per cent stake in healthtech start up Wellthy Therapeutics for ₹10.5 crore.

THE UNION GOVERNMENT has been supporting the start-up ecosystem for the past few years, but Covid-19 triggered special support for health, pharma, and medical technology solutions. Financial and infrastructure support is pouring in from across departments. So far, the government has supported over 1,000 biotech, pharma, and medical devices start-ups since the start of the pandemic through various ministries. "The Covid-19 pandemic has not only presented challenges but also several opportunities for India to grow. The crisis has opened the floodgates for Indian start-ups, many of which have risen to the occasion and accelerated the development of low-cost, scaleable and quick solutions," says Amitabh Kant, CEO of NITI Aayog, the government's policy think tank.

Further, the National Start-up Awards 2022, organised by DPIIT,